iii) Loan company

iv) Investment company

i. Equipment Leasing Company

Equipment leasing companies own machineries and equipment and lease them to clients. In return the equipment leasing companies get rental income.

ii. Hire-Purchase Company

Hire purchase refers to purchasing equipment, machinery etc., in installment payment system. Hire purchase companies finance this kind of purchase and recover money from clients in installment.
However, with effect from December 6, 2006 the above NBFCs registered with RBI have been reclassified as:

1. Asset finance company (AFC)
2. Loan company (LC)
3. Investment company (IC)

1. Asset Finance Company (AFC)

The RBI website defines AFCs as follows: "AFC would be defined as any company which is a financial institution carrying on as its principal business the financing of physical assets supporting productive/economic activity, such as automobiles, tractors, lathe machines, generator sets, earth moving and material handling equipment, moving on own power and general purpose industrial machines. Principal business for this purpose is defined as aggregate of financing real/physical assets supporting economic activity and income arising there from is not less than 60 per cent of its total assets and total income respectively."[3]